

S&P GLOBAL ESTIMATES THAT MORE THAN \$100 BILLION WILL BE INVESTED IN DATA CENTRES IN THE APAC REGION, AND SEES COUNTRIES LIKE MALAYSIA AND VIETNAM CHALLENGING INDIA

renewable energy, semiconductors, and hardware sectors. “As more businesses shift to digital operations, the demand for cloud services, data analytics, and cybersecurity will increase, benefitting the IT and software services sectors. Similarly, integrating advanced telecom networks with data centres will enhance data transmission speeds and reliability, driving data service demand,” he says.

Amit Goel, Co-founder & Chief Global Strategist at asset management firm Pace360, explains that there will be greater demand for the services of information technology-enabled services companies. “Companies such as TCS, Infosys, and Wipro will be responsible for managing the data centres, designing and implementing secure storage solutions, and providing data analytics services,” Goel says.



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KEY CHALLENGES

Meeting this sector’s energy demands will be the big challenge. Its growth will undoubtedly place a big strain on the existing power grid, and power companies will need to invest in expanding their capacity. “This presents an opportunity for companies such as NTPC and Power Grid,” says Goel of Pace360.

CareEdge Ratings says power constitutes 65% of the overall operating cost for data centres. The IT equipment and its cooling system consume nearly 75% of total power intake.

Power availability and reliability are one of the top challenges for data centres, say experts. Paul of Equinix India agrees. “Data centres are energy-intensive opera-

tions, and ensuring investment by the power utility companies to support the growing demand of data centres apart from offering stable and cost-effective power supply is crucial,” he says. Rathod of CtrlS Datacenters adds that mitigating these challenges requires a multi-pronged approach. Transitioning to renewable energy sources and prioritising energy efficiency are crucial steps.

Agarwal of Alchemy concurs. “The renewable energy sector will witness substantial growth as solar and wind

energy producers will see heightened demand as data centres seek green energy solutions.” Agrees Rahul Singh, CIO-Equities at Tata Asset Management, adding that the major beneficiaries of the boom will be power companies.

Jiten Doshi, Co-founder & Chief Investment Officer of Enam Asset Management Company says the power sector could witness heightened demand, potentially driving investments in grid infrastructure and renewable energy solutions. “Engineering and construction firms may experience increased

order books for specialised data centre projects,” he says.

One critical issue that needs to be tackled is the time it takes to build data centres, Paul feels, since it takes anywhere between two and three years at present to get the necessary approvals to set up data centres. “Collective effort, including the central and state governments, is needed to reduce this time taken.”

The government and the companies must take this tide at the flood if the country is to see the benefits of this nascent boom. **BT**

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